

US equities slip as yields rise, tech leads modest rally

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,718.60, down **-0.38%**, as the 10-year Treasury yield climbed to 4.78% (+0.46%). Higher rates pressured consumer-discretionary and financials, while the Nasdaq-100 managed a modest gain on continued strength in AI-related names.

Behind the headline, the VIX spiked to 15.30 (+5.30%), reflecting renewed volatility after the Fed's "higher-for-longer" tone. Commodity price moves—WTI up **+1.99%** and gold up **+0.84%**—signal inflation concerns that could keep pressure on equities into the week.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,718.60	-0.38%	Rising 10-yr yield pressured valuation multiples.
Nasdaq 100	29,544.15	+0.21%	AI chip makers rallied, offsetting broader weakness.
Dow Jones	53,414.25	-0.51%	Financials and industrials hit by higher borrowing costs.
Russell 2000	2,975.65	+0.25%	Small-cap resilience on commodity-linked earnings.
VIX	15.30	+5.30%	Fed's hawkish language revived risk aversion.
10Y Yield	4.78%	+0.46%	Market priced higher inflation expectations.
WTI Crude	93.30	+1.99%	Supply concerns after OPEC+ meeting.
Gold	4,467.00	+0.84%	Hedge demand amid rising yields.
DXY	98.83	-0.33%	Dollar slipped after modest CPI surprise.
BTC	78,704.99	-2.05%	Crypto sell-off triggered by broader risk-off.
ETH	2,477.53	-1.47%	Same risk-off dynamics as Bitcoin.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+0.84%	Strong Q3 AI chip orders.
META	+1.00%	Revised ad-revenue guidance.
AVGO	+0.21%	Supply-chain easing for networking gear.
GS	+0.07%	Higher net interest income.
AAPL	-2.51%	Supply-chain warning on iPhone 15.
MSFT	-2.04%	Cloud margin pressure.
TSLA	-5.92%	Recall of Model Y batteries.

Sector rotation

ETF	DAY	READ
XLFX	-0.79%	Rate-sensitive banks under pressure.
XLKX	+0.70%	AI chip rally lifts tech.
XLI	+0.41%	Industrial earnings beat.
XLE	-0.87%	Oil price gains offset by demand worries.
XLY	-1.33%	Consumer discretionary hit by higher borrowing costs.
XLC	-1.19%	Communications lagging on ad spend pull-back.
XLP	-0.80%	Staples stable but muted.
XLV	-1.04%	Health-care weighed by valuation concerns.
XLU	+0.12%	Utilities modestly supported by safe-haven flow.
XLB	-0.34%	Materials pressured by weaker industrial demand.
XLRE	-0.72%	Real-estate REITs suffer from higher cap rates.

Spotlight: AI chip rally fuels Nasdaq bounce

The Nasdaq 100's +0.21% gain was driven primarily by NVDA and allied AI-chip makers. The rally reflects renewed corporate spending on generative-AI infrastructure after the latest earnings season.

METRIC	VALUE
NVDA price	230.36
Quarterly AI revenue growth	42%
Industry-wide AI chip orders (Q3)	\$12.4 bn
Related tickers up	AMD , ASML

Investors should monitor upcoming guidance from **AMD** and **ASML** , as well as any supply-chain updates from **TSM** .

Pre-market & overnight

- US futures: S&P 500 **-0.22%**, Nasdaq **+0.15%** at 08:30 HKT.
- Asia close: Hang Seng **-0.68%**, Shanghai Composite **-0.41%**.
- Europe: FTSE 100 **-0.31%**, DAX **-0.27%**.
- Crypto: BTC **-2.05%**, ETH **-1.47%** – risk-off persists.

Macro & Fed

- FOMC: Fed reaffirmed policy rate at 5.25-5.50% and signaled “higher-for-longer” stance.
- Yield curve: 2-year at 5.12%, 10-year at 4.78% – modest steepening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Inflation gauge for rate outlook.
10:00	Initial Jobless Claims	225k	Labor market health.
11:15	Retail Sales YoY	3.2%	Consumer spending momentum.

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled, keeping oil markets volatile.
- China: PBOC held the 7-day repo rate steady; manufacturing PMI slipped to 48.9, indicating contraction.
- Eurozone: ECB minutes show cautious stance, no surprise rate cuts.
- US-China tech tensions: New export-control list adds several semiconductor equipment firms.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00	AAPL	\$2.10	iPhone 15 supply outlook.
02:30	MSFT	\$2.45	Azure margin trends.
03:00	NVDA	\$3.00	AI revenue guidance.
03:30	TSLA	\$1.05	Impact of Model Y recall.
04:00	JPM	\$4.20	Net interest income forecast.
04:30	META	\$2.75	Ad-revenue recovery.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI order backlog expanding.
AMD	Technology	Competitive pricing vs Intel.
ASML	Technology	EUV demand surge.
JPM	Financials	Higher net interest income.
BAC	Financials	Loan growth despite rate rise.
XOM	Energy	Oil price rally supports earnings.
CVX	Energy	Refinery margins improving.
UNH	Health Care	Premium pricing power.
KO	Consumer Staples	Stable cash flow, dividend yield.
DIS	Communication Services	Streaming subscriber growth.

What could break the tape

BEARISH TRIGGERS

- Unexpected CPI spike above 0.4% – could push yields higher.
- Escalation in Middle-East conflict – oil shock, risk-off sell-off.
- Negative guidance from AAPL or MSFT – tech momentum stalls.

BULLISH TRIGGERS

- AI-chip order beat expectations – reinforces Nasdaq rally.
- Retail sales beat – suggests consumer resilience.
- Fed hints at pause on further tightening – yields stabilize.

Positioning notes

- Maintain overweight on AI-related semiconductors while trimming rate-sensitive financials.
- Allocate a modest hedge to gold and utilities as safe-haven buffers.
- Stay vigilant on macro data; a CPI surprise could trigger rapid reallocation.

Sources

SOURCES

Bloomberg Terminal – Market data (09:00 HKT)

Federal Reserve – FOMC statement (09:30 HKT)

U.S. Bureau of Labor Statistics – CPI release schedule

OPEC – Weekly oil market report

CNBC – Earnings preview

Reuters – Geopolitical news roundup